



ZoomInfo Diligence

Investment committee narrative and value
creation blueprint



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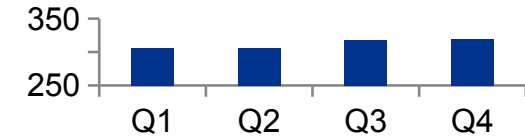
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01

Executive summary

Profit & loss overview

FY2025 returned to modest growth while non-GAAP profitability stayed resilient; FY2026 guidance implies a low-growth near-term profile.



Metric	FY2024	FY2025
Revenue (GAAP, \$m)	1,214.3	1,249.5
Gross profit (GAAP, \$m)	1,024.5	1,049.9
Operating income (GAAP, \$m)	95.9	225.7
Adj. operating income (Non-GAAP, \$m)	380.0	445.9

FY2025: \$1.25B revenue, 84% gross margin, \$446M adjusted operating income

- Revenue increased from \$1,214.3m in FY2024 to \$1,249.5m in FY2025 (+2.9% YoY), following post-2023 normalization.
- FY2025 gross profit reached \$1,049.9m (~84.0% gross margin), reflecting continued scale benefits in the subscription model.
- Non-GAAP adjusted operating income was \$445.9m (35.7% margin); GAAP operating income was \$225.7m (18.1% margin).
- FY2026 guidance issued February 9, 2026 points to revenue of \$1.247B-\$1.267B and adjusted operating income of \$456M-\$466M.

S1-S5 (FY2025 10-K and FY2025 quarterly earnings releases filed via Form 8-K).



Summary financials

Revenue durability

[Read more](#)

Margin quality

[Read more](#)

Net debt and TRA

[Read more](#)

Cash conversion

Regulatory readiness

S1-S2 public filings; assumptions explicitly flagged where guidance is unavailable.



Investment thesis at entry

Base case supports a cash-generative platform investment, with value creation dependent on retention repair and disciplined AI monetization.

Why this can work: a high-margin subscription model, large contracted revenue base (RPO \$1,252.4m), and robust FY2025 operating cash flow of \$465.4m support debt capacity and execution runway.

Core underwriting challenge: FY2026 guidance points to flat-to-low-single-digit growth, so equity value creation depends more on retention uplift and pricing architecture than on macro rebound alone.

Critical downside watchpoint: NRR remains below 100% (90% at Dec 31, 2025), with explicit disclosure of AI-driven seat compression risk and broadening competitive pressure from AI-native offerings.

Structuring implication: debt stack plus TRA liability (~\$2.7B) must be explicitly reflected in leverage planning and cash sweep assumptions; treat TRA as quasi-debt in IC framing.

Execution imperative: convert product innovation into measurable customer outcomes, then re-anchor pricing to value delivered rather than purely seat counts.

02

Historical trading

Historical trading analysis

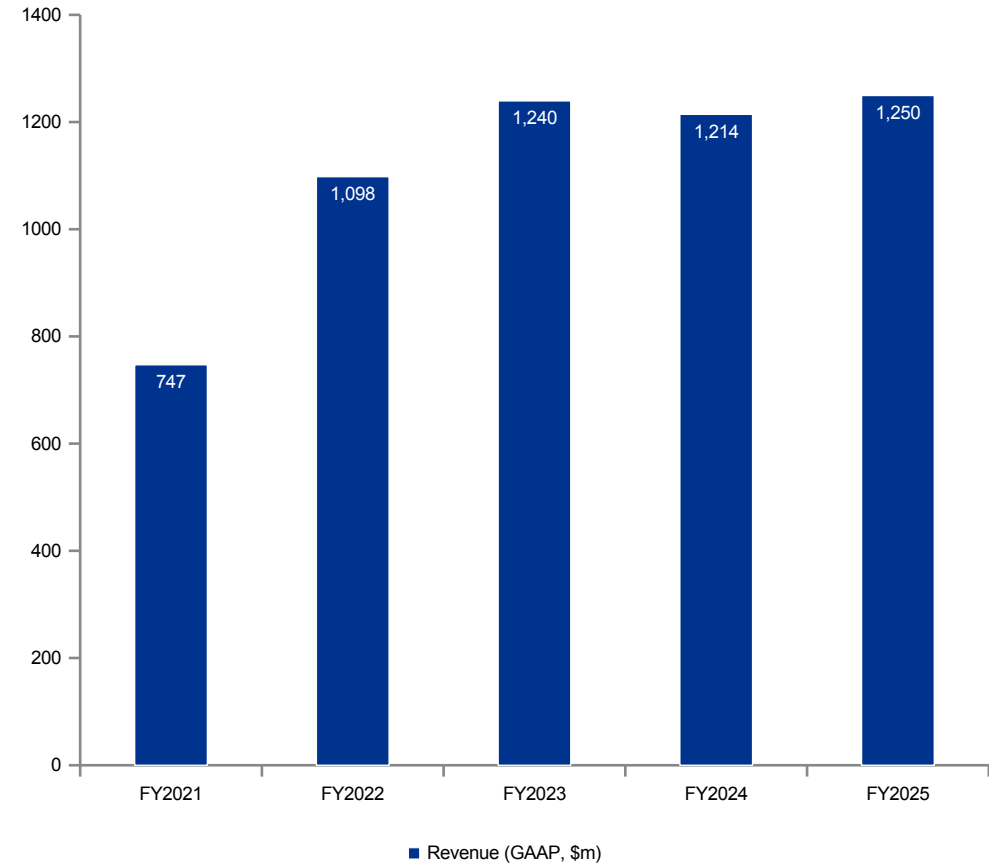
Revenue expanded rapidly through FY2023, softened in FY2024, and returned to growth in FY2025; retention and mix improved but remain below best-in-class levels.

- GAAP revenue rose from \$747.2m (FY2021) to \$1,239.5m (FY2023), then dipped to \$1,214.3m (FY2024) before recovering to \$1,249.5m (FY2025).
- The FY2024 reset appears tied to macro and optimization pressure across customer budgets, with FY2025 showing stabilization rather than re-acceleration.
- Non-GAAP profitability stayed strong across the period, indicating a resilient cost model even when top-line momentum moderated.
- Upmarket mix increased to 74% of ACV by Dec 31, 2025, supporting a pathway to improved durability if NRR can be pushed toward or above 100%.
- Cash generation remained robust throughout the cycle, suggesting the model can self-fund targeted growth and deleveraging initiatives.

Diligence focus: test cohort-level churn and expansion mechanics to determine whether FY2025 stabilization is structural or temporary.

Sponsor lens: prioritize scenarios where moderate growth plus margin stability still delivers attractive equity returns through disciplined capital structure.

Downside lens: pressure-test seat contraction and discounting behavior in SMB-heavy cohorts under prolonged macro softness.

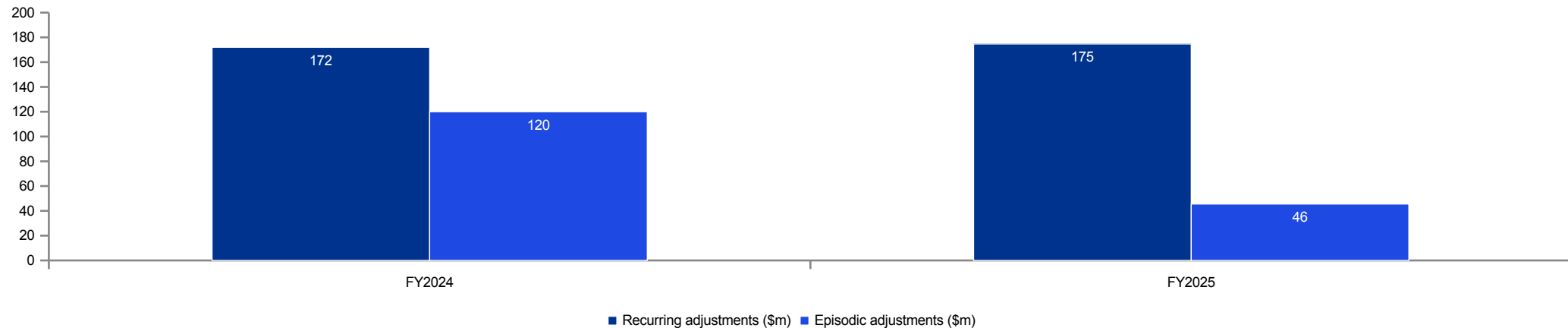


S1 and S6

Quality of earnings normalization

Non-GAAP margins are attractive, but recurring add-backs and selected cash items require careful normalization to define sustainable EBITDA.

- FY2025 adjusted operating income of \$445.9m is supported by add-backs that include both structural and episodic components.
- Recurring adjustments include stock-based compensation (\$116.2m) plus amortization of acquired technology and intangibles (~\$58.5m combined).
- Episodic items include restructuring and transaction-related expenses (\$40.3m in FY2025) and litigation settlement charges (\$5.2m in FY2025).
- FY2024 included materially higher restructuring and litigation burden, which explains part of the year-over-year GAAP margin rebound.
- Normalization approach should separate truly non-recurring items from recurring economic costs tied to the platform model.
- Use management diligence to triangulate a sustainable run-rate margin under base, downside, and value-creation scenarios.



S1



Operating KPI trend card

Retention improved through FY2025 and contracted coverage expanded, but sub-100% NRR and AI-linked seat compression remain key underwriting risks.

Metric	FY2024	FY2025	Diligence read-through
Net revenue retention (year-end)	87%	90%	Improving trajectory, but still below expansion threshold.
>\$100k ACV customers	1,867	1,921	Upmarket growth supports deal durability.
RPO at year-end (\$m)	1,156.9	1,252.4	Forward contracted coverage increased.
RPO recognized in 12 months (\$m)	n/a	887.4	Near-term revenue visibility remains solid.
International revenue (\$m)	145.7	145.8	Limited international growth; still U.S.-weighted.

Key takeaways

- NRR improved to 90%, but still implies net cohort contraction without stronger expansion motion.
- RPO growth supports near-term visibility, giving room to execute retention and pricing initiatives.
- Upmarket customer growth is constructive, but underwriting should still stress-test SMB churn sensitivity.
- International contribution remains flat, so growth plan is still predominantly U.S.-led.

03

Risks and diligence priorities

Commercial diligence findings

Durability is improving but not yet fully proven; value hinges on renewal quality, expansion economics, and competitive differentiation versus AI-enabled alternatives.

Strengths: predominantly subscription revenue, contracts typically 1-3 years and non-cancelable, and sizable RPO supporting near-term forecast confidence.

Mix shift: Upmarket ACV share rose to 74% by Dec 31, 2025, indicating better enterprise penetration and improved ability to defend pricing.

Key risk: NRR at 90% still implies cohort shrinkage absent new-logo gains and expansions; renewal quality remains the core swing factor.

Required diligence: segment-level churn and expansion decomposition across SMB, mid-market, and enterprise cohorts.

Competitive pressure: disclosures cite overlap risk from free sources, vertical specialists, CRM ecosystems, and LLM-native entrants with lower-cost intelligence products.

AI disruption: management explicitly flags seat compression risk as customers use AI to deliver outcomes with fewer users.

Pricing opportunity: repackaging into workflow and outcome-linked value metrics to reduce seat-count sensitivity over time.

Commercial priority: establish a measurable NRR-to-100% program with accountable owners, stage gates, and quarterly scorecards.

Operational diligence findings

The data platform appears scalable, but privacy operations, source rights, and ecosystem dependencies determine whether growth and margin plans are bankable.

Platform model: AI/ML ingestion from millions of sources plus analyst-led quality controls appears differentiated, but diligence must verify reproducibility at scale.

Data quality commitments: contractual quality guarantees introduce potential reimbursement and reputational risk if data freshness or accuracy slips.

Systems resilience: assess production uptime, ingestion bottlenecks, and monitoring maturity for critical data pipelines.

Integration durability: quantify concentration of value in third-party integrations and failure modes if API terms change.

Privacy regime shift: California DROP became available Jan 1, 2026, with deletion processing obligations starting Aug 1, 2026; this may raise opt-out velocity.

Litigation exposure: FY2025 filings disclose multiple privacy-adjacent and securities actions; validate reserve assumptions and insurance coverage quality.

EU complexity: AI Act and evolving data-transfer frameworks increase compliance burden for international scale-out plans.

Operational ask: produce a documented control framework for opt-outs, source-rights evidence, and auditable model governance.

Regulatory and legal watchlist

Regulatory tightening and legal overhang are manageable only with proactive governance, tighter disclosures, and clear accountability in execution plans.

- Privacy and data brokerage rules are tightening in the U.S.; California's DROP workflow is an immediate execution risk with direct implications for dataset breadth and refresh rates.
- The company disclosed several privacy-adjacent class actions (filed between September 5, 2024 and June 26, 2025) plus securities litigation filed September 4, 2024.
- For international expansion, compliance assumptions should explicitly include EU AI Act obligations and potential disruption in transatlantic data-transfer mechanisms.
- Auditor critical audit matter focuses on deferred tax asset realizability, signaling forecast sensitivity under lower-growth downside cases.

Recommendation: establish a legal-risk heatmap tied to financial exposure, probability buckets, and quarterly governance checkpoints.

04

Value creation blueprint

Value creation plan

The plan prioritizes retention-led growth, monetizable AI workflows, cost discipline, and regulatory resilience with clear performance milestones.

Retention uplift

- Lift NRR from ~90% toward 100%+ via renewal cockpit discipline, targeted save plays, and expansion playbooks by segment.
- Track monthly churn and expansion bridges with IC-visible accountability.

AI product monetization

- Package AI workflows into paid modules tied to conversion and pipeline outcomes, reducing seat-based pricing dependence.
- Pilot value-based pricing in Upmarket cohorts before broad rollout.

Margin and cash discipline

- Protect mid-30% adjusted operating margin while reducing episodic restructuring through stable org design.
- Preserve high cash conversion to accelerate deleveraging in base and downside cases.

Compliance hardening

- Industrialize opt-out processing, source-rights traceability, and disclosure governance to reduce legal friction.
- Implement quarterly control attestations for privacy, AI governance, and litigation readiness.

Quality of earnings workplan



Management deep-dive agenda

Priority questions to close investment-critical data gaps before final underwriting.

Workstream	Key question	Why it matters	Priority
Commercial	What drives cohort churn by segment and vintage?	Validates retention recovery path and NRR assumptions.	High
Product	How quickly can AI modules be monetized with proven ROI?	Determines growth re-acceleration potential.	High
Operations	What is the expected impact of DROP on data breadth and freshness?	Directly affects product quality and retention.	High
Finance	Which add-backs are truly non-recurring over a 3-year horizon?	Defines sustainable EBITDA and leverage capacity.	High
Tax	What are TRA payment timing scenarios under change-of-control?	Impacts equity value and debt service planning.	Medium
Legal	What are probable outcomes and cash exposure across active cases?	Frames downside valuation and covenant risk.	Medium

Key takeaways

- Commercial and product workstreams are the primary value drivers; close these first for underwriting confidence.
- Finance, tax, and legal asks directly shape downside valuation and leverage headroom.
- Answers should be converted into quantified base/downside/upside scenarios before final IC approval.
- Assign clear owners and deadlines now so diligence findings can be actioned in the first 100 days.

Assumptions and data gaps

This draft uses only public information; final investment case requires management access and confirmatory diligence evidence.

- Forecast visibility is limited to FY2026 guidance; FY2027-FY2028 values in this deck are placeholders and should be replaced after management plan review.
- The current model treats TRA as quasi-debt and assumes no adverse acceleration beyond disclosed obligations; legal and tax diligence must confirm change-of-control mechanics.
- NRR decomposition, pricing power by segment, and seat-compression impacts require cohort-level operating data not disclosed in public filings.
- Litigation and privacy exposure are directionally assessed from disclosed actions; probability-weighted outcomes and insured recoveries remain open items.
- International expansion assumptions are conservative until EU AI Act and cross-border data-transfer operating implications are fully validated.

